

THE SESSION · POST-CLOSE READ

Crude Eases, Confidence Slips

Brent's December contract eased 1.7% to about \$96 as Saudi exports resumed through the East-West pipeline, consumer confidence fell to 81.9 against expectations near 89, and the S&P 500 slipped 0.18%. Dividend Strategy -0.35% trailed DVY and SPY; Growth Portfolio -0.04% trailed IUSG.

S&P 500 ▼ 0.18%

NASDAQ ▼ 0.09%

DOW ▼ 0.26%

VIX 16.0

BRENT ▼ \$96

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.35%

1-DAY

FCI		-0.35%
DVY		-0.31%
SPY		-0.17%

YTD +16.42% vs DVY +11.13% · SPY +12.96%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.04%

1-DAY

FCI		-0.04%
IUSG		+0.11%

YTD +21.48% vs IUSG +15.87%

THE SESSION

Oil gave back part of its supply premium as Saudi Arabia resumed exports through its East-West pipeline and U.S.-Iran mediation continued, but a sharp drop in consumer confidence and firmer long-term yields kept the major indexes slightly lower. The S&P 500 slipped 0.18%, or 14 points, to 7,670; the Nasdaq eased 0.09% to 26,798 and the Dow 0.26%, or 132 points, to 51,350. Brent's more-active December contract fell 1.7% to about \$96 a barrel. The Conference Board's consumer confidence index fell to 81.9, its lowest reading since 2014, from 88.6 and against expectations of 89.2, and August job openings slipped to 7.08 million from 7.34 million. Treasury yields rose at the long end: the 10-year added two basis points to 5.26% and the 30-year three to 5.59%. Artificial-intelligence headlines cut both ways. A leaked Anthropic IPO prospectus reported by Reuters and OpenAI's decision to shelve a frontier model weighed on sentiment around AI valuations and software,

while AMD, a Growth Portfolio holding, closed flat after agreeing on Monday to acquire World Labs for \$8.2 billion. The VIX held near 16.0. Wednesday's August PCE report and Friday's September payrolls remain the week's main tests for the rate outlook.

The Dividend Strategy declined 0.35%, trailing DVY's 0.31% decline by 0.04 point and SPY's 0.17% by 0.18 point, with nine of twenty-five holdings higher and ADP unchanged. Steel Dynamics was the largest drag, subtracting about 0.15 point as the shares fell 3.69% to \$221.90, extending Monday's pullback across the steel group. Qualcomm declined a further 1.74% and Quest Diagnostics 2.38%, and the defense holdings eased, with Lockheed Martin -1.14% and General Dynamics -0.54%. Gains elsewhere offset part of the decline: Constellation Energy rose 1.59% and added about 0.10 point, with Lam Research +2.99%, Stryker +1.29% and Caterpillar +0.82%.

Oil eased and the consumer softened in the same session. Our work is to know what each business earns through both, not to trade the headline.

The Growth Portfolio slipped 0.04% while IUSG rose 0.11%, trailing by 0.15 point, with eleven of twenty-five holdings higher. Marvell led, rising 4.52% to \$263.28 and adding about 0.19 point after Bank of America reiterated its Buy rating and estimated the company could capture about \$30 billion of a \$60–65 billion custom AI-chip attach market by 2030, ahead of Marvell's October 6 analyst day. Vistra rose 2.04% alongside Constellation, and Agnico Eagle (+0.91%) and TSM (+0.90%) added. Freeport-McMoRan (–1.61%) and ServiceNow

(–1.15%) were the largest drags, the latter as software lagged on the AI headlines, and the energy holdings eased with crude: ONEOK –1.99%, CNX –1.55% and Chevron –0.96%. IBIT rose 0.25% and ETHA 0.65%. On the year, the Dividend Strategy stands at +16.42% against DVY's +11.13%, a +5.29-point spread, with SPY at +12.96%; the Growth Portfolio stands at +21.48% against IUSG's +15.87%, a +5.61-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

MRVL +4.52%

GROWTH

Rose to \$263.28 after a Bank of America note on the custom AI-chip opportunity; the company holds an analyst day on October 6.

LRCX +2.99%

DIVIDEND

Closed at \$323.86, the Dividend Strategy's strongest performer; no company-specific news identified.

DECLINERS

STLD –3.69%

DIVIDEND

Fell to \$221.90, extending Monday's steel-group pullback; the company guided third-quarter earnings below consensus on September 17.

DGX –2.38%

DIVIDEND

Declined to \$231.97; no company-specific news identified.

PGY +2.18%

GROWTH

Closed at \$17.37, recovering part of Monday's 3.52% decline; no company-specific news identified.

VST +2.04%

GROWTH

Rose to \$140.83 alongside Constellation Energy (+1.59%); no company-specific news identified.

OKE –1.99%

GROWTH

Fell to \$86.86 as crude eased on resumed Saudi exports through the East-West pipeline.

HRMY –1.80%

GROWTH

Closed at \$39.29; no company-specific news identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+16.42%

vs DVY +11.13% / SPY +12.96%

Spread vs DVY +5.29 pts

GROWTH PORTFOLIO

+21.48%

vs IUSG +15.87%

Spread vs IUSG +5.61 pts